Ep. 369: Marvin Barth on US Re-Industrialisation, Trump 2.0, and the Localisation Thesis

Podcast: Macro hive

AI Executive Summary

Core Thesis The episode posits that the perceived resilience of the US economy is driven by a profound, structural shift toward "localization"—a process where automation has made domestic production more cost-effective than globalized, low-cost labor models. This transition, accelerated by recent tariffs and geopolitical instability, is creating a broad-based industrial investment boom in the US that extends far beyond the AI/data center narrative. While this movement presents challenges to traditional labor markets (specifically regarding skill mismatches) and inflationary pressures, it reinforces "American exceptionalism" through energy surpluses and agricultural advantages, ultimately favoring US mid-caps, industrials, and skilled technical sectors over overvalued tech giants.

Key Arguments & Data * **The Localization Thesis:** Since roughly 2012, the rising cost of globalized logistics and the advent of advanced automation have made it more efficient to invest in wealthy, local economies. Tariffs act as a "starting gun" for this investment rather than a productivity shock. * **Investment Composition:** Contrary to the narrative that US growth is solely driven by AI/data centers, approximately $2.5 trillion in announced global investments are flowing into the US, with over 50% of that capital directed toward manufacturing. * **Labor Market Mismatch:** A critical structural issue exists where the workforce is over-trained in "literacy-based" liberal arts disciplines—skills easily replaced by AI—while there is a massive shortage and high wage potential (e.g., $150,000 for mechanics) in technical trades like welding, electrical work, and pipefitting. * **Inflation & The Federal Reserve:** * The guest argues the Fed has been "behind the curve," failing to recognize that the neutral real interest rate (r^*) *is likely between 2% and 3%, rather than the Fed's much lower estimate. * Consumer inflation expectations are breaking out of multi-decade ranges, suggesting a loss of Fed control. * A hawkish leadership (potentially Kevin Warsh) is viewed as necessary to aggressively hike rates to anchor long-term expectations. * Geopolitical Windfalls: The US is uniquely positioned to benefit from global instability (e.g., the Iran war) due to its surplus of hydrocarbons and derivatives, leading to "off the charts" refinery margins. Additionally, El Niño patterns are expected to*

*favor US agricultural output relative to the rest of the world. * UK/Brexit Analysis:** The economic impact of Brexit has been overstated by some because trade is governed by "gravity" (geography) rather than just policy; however, the UK suffers from a lack of structural reform and an inability to diverge from EU rules effectively.

Actionable Takeaways * Investment Strategy - Sector Rotation: Investors should look beyond "hyperscalers" and high-priced AI stocks toward the second quartile of equity risk premium. Specific opportunities exist in US mid-caps, industrials, and companies involved in the massive CapEx boom driven by automation and manufacturing localization. * **Macro Hedging:** Prepare for a "bear flattening" yield curve, as rising front-end rates (driven by necessary Fed hikes) may drag on other global economies while supporting a strong US Dollar. * **Career Development for Young Professionals:** In an era of generative AI, the value of "knowledge" is decreasing while the value of "experience" is increasing. To remain relevant, young workers should adopt an "apprenticeship model," focusing on developing the ability to ask high-quality questions and critically evaluate AI outputs (identifying hallucinations), as these are skills that cannot be automated without human context.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, Head of Strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow macro-institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mozibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. Now onto this episode's guest, Marvin Barth. Marvin is the creator of thematic markets and seriously Marvin. Thematic markets is rigorous institutional quality research aimed at market professionals, while seriously Marvin presents more accessible takes on contrarian musings. Marvin doesn't have time to research at thematic markets. Both publications benefit from the uniquely broad perspective on the global political economy Marvin has gained from a three decade career spanning nearly every asset class, academia, central banking, finance, military and international institutions. These include working at Barclays Investment Bank, Citi, the Federal Reserve Board, the U.S. Treasury Department and the Bank for International Settlements. Now on to our conversation.

Greetings and welcome Marvin. It's always fantastic to have you on the podcast show. Well, thank you Bilal. It's a pleasure to be back. I really enjoyed my last time here on MacroHive and I'm looking forward to our conversation today. Marvin, one of the reasons I like having you on is you're willing to have bold views. You like to kind of go against the grain of market narratives and just establishment narratives and your sub-stack which I subscribe to is great resource to hear your views. Thank you for that. I appreciate that. Yeah. Okay. Let's kind of get into it. So, you know, one of the stories for the US this year has been, you know, I guess not just for this year, but last year as well, the resilience of the US economy, you know, has been one recurring topic I've had with many of my guests as

well. You know, we had the tariffs, US bounce back, then we've had the Iran war. US has kind of been relatively immune from that all. And then also at the same time, you know, where people do talk about US growth, they talk about very narrow strand of growth, which is data centers and that's all.

How do you respond to that framing? Well, I think one of the things that I have, I think, gotten right over the last, frankly, going back almost a decade is much stronger US growth than people expected. And part of that was that I saw this as a much broader based reinvestment that was grounded in fundamentals, but being augmented by policy and by events, right? So I think we talked about it last time, you know, I have this localization thesis that really what's changed in the world and it starts around 2010, 2012, or at least that's the tipping point when you start to really see it show through in the data is that it becomes cheaper.

an increasing array of goods and services to produce things locally using automation than it is to use the cheapest labor anywhere in the world throughout sourcing. And as a result, it actually becomes much more efficient to start investing again in economies that are the wealthiest economies. And the US has been at the forefront of that. And this investment boom that people are talking about actually begins in 2012. which right there is a big clue. This is not just AI. This is much, much broader than AI, right? And so that's one of the reasons why I think people have continuously underestimated is they haven't observed or haven't been focused on that. And then of course, you get tariffs, you get COVID, you get national security issues. All of these things basically reinforce that localization premium. And I think This is why I had such a different view to people last year on the tariffs.

You know, all tariffs did in my mind was if you were sitting on the fence as a corporate executive thinking, hey, I see all this going around me where some of my competitors are starting to automate their production locally and things like that. This is a big expense. I'm not sure I really want to go through that one. I've invested so much in an outsourced supply chain and all of a sudden you see this big tariff wall go up. what is your decision going to be? It's not exactly what every other economist said that this is

somehow a negative productivity shock. No, it's the exact opposite. It's the starting gun to build as much as you can as fast as you can. And of course, it's been no surprise to me that investment has been through the roof since then, right? Like, you know, you've been seen it surging across categories. And I think that gets to another problem that the consensus has faced here is that because they've been so focused on the AI story, which I'm not going to deny is a big one. It's important. They have seen what they wanted to see in the investment numbers. So they see, you know, they look through the different categories of investment and say, look, it's all computers and semiconductors and chips and things like that. And they say, it must just be data centers. Well, gosh, if you were going to build an automated factory below, Would you buy any of those things? I think you might. And if you look at the actual announcement data instead, so you look at corporate announcements, and I tracked these over the course of last year. And the amazing thing was is that the US numbers were off the charts. You had about three quarters of announced investment globally going into the US. And of that, That was about two and a half trillion dollars, by the way. Now, those are multi-year projects, so that's not all coming through in just one year, but that was- I think those are things like factory building and investment like that, yeah. Yeah, everything. And that's that you just got to exactly my point is that I broke that down by categories. And when you look at it, yeah, data centers are a big chunk of it, but over half of it is manufacturing.

OK, so this is not just data center. This is a much broader or bigger picture thing. And I think that's what people have been getting wrong. I mean, the other side of that then is in terms of the impact on the labor market, because wages, real wages, however you want to measure it have been relatively subdued despite. this localization. So, you know, there was an argument that, you know, the reason we've had sort of the rise of populism, the anti-elite kind of view is that the average guy has been left behind. And so reindustrialization would help them. But that hasn't really happened. Is that a fair characterization or? Well, I think there are elements of that.

This populist movement, this is one of the things that I've been doing research on for over a decade, as you know. And if you look at it, the roots of that populist movement go back 30, 40 years. So this is not just some sort

of recent event. And it seems to be much more associated with people's sense of political disenfranchisement than their economic disenfranchisement. But of course, the economic disenfranchisement compounds that. Now the interesting thing is that if you look, yeah, if you look at average hourly earnings or something like that, or other measures of wage, it does suggest that American workers have been falling behind relative to inflation, which is part of the reason why they're so angry about inflation. But if you look at manufacturing in specific, actually, manufacturing wages have grown much faster. And over much of the course of the last you know, five years, certainly, and even 10 years, they've actually, you've seen real wage gains. Not in the last few months, but that's simply because inflation has been through the roof, a topic I'm sure we'll get to, but, you know, manufacturing wages haven't been able to keep up with it. But still, manufacturing wages on a three month annualized basis are growing at about 3.4% right now.

So, based on what was inflation last year and what you might be bargaining for, that's actually a pretty good wage gain. It's just that average hourly earnings overall were basically flat. So that's where the disconnect comes. And I think that gets a lot to, the biggest problem I see in labor markets is feeding through into sort of populist politics, but much more on the left this time is, who's being left behind now? And I think this gets to this whole AI labor puzzle bubble, right? Which is bubbles, probably not the right term there. But this concern that AI is taking people's jobs. And I think it is, but it's because they trained for the wrong things. Western economies for the last, basically almost all of our adult lives, if you think about it Bilal, have been telling everyone, oh, you need to go to university. You must go to university. And the reality is most people go to university and get jobs that actually don't train you for anything other than to be a more literate person. Well, gosh, that's exactly what AI does really well on that.

So that ain't going to help you. And it's just exposing a disconnect between the workers we need in our economy, which are electricians, pipe fitters, welders, all of those people who, by the way, massive job openings. And, you know, when you hear Ford Motor CEO saying, hey, I have literally a thousand mechanics jobs offering starting at 150,000 a year. way above what a liberal arts major makes in the United States. And I can't find

workers. That's telling people trained for the wrong job. So we have an issue of structural unemployment. And it's a bunch of liberal arts grads who should have gone to auto mechanic school or learn to weld or learn to be electricians or things like that. And instead learn to critique poetry or something like that.

I like that. Well, I mean, speaking of that type of thing, you know, how do you think about the Trump administrations or Trump 2.0 in context to 1.0 and just more generally in terms of these trends you've been talking about? One of the things I've always noted about Donald Trump was one of the things that worried me most when he was first elected is it struck me that he lacked knowledge and a real ontology or framework for thinking about the problems that he had to deal with. But one of the things that I observed over the course of Trump 1.0, which I don't think turned out very well, but one of the things that was there, it does seem to actually have really good gut instincts. I'm sure that's going to be a controversial statement that a lot of people will push back on.

But I think there were a lot of things where he had generally the right sort of idea that, hey, deindustrializing our economy is probably not a great thing for our national security. And he couldn't articulate it well. And he didn't have a team around him that felt that because the guy wasn't prepared to be elected. So he didn't have any team in place. And of course, the people off the shelves were either a bunch of, or lack of a better word, people capitalizing on a situation where they could cling to power or corruption or things like that. Or they were the old guard who didn't share that view and it built the whole problem in the first place. And so we're of course actively fighting everything. That's one of the reasons why Trump 1.0 didn't work very well. Trump 2.0, what I would say is that he clearly went off, my view is the guy is hyper competitive.

he was really pissed off that he lost. I think that's apparent to everyone. And he actually went into the wilderness and prepared, right? And I'm not sure that he's that much more cognizant of all the issues and things like that. I mean, it's hard to learn all this stuff. But he did assemble a much better team that aligned with his instincts. And so I think what you're seeing across the board is for good or for ill, a more effective Trump

administration in 2.0 than 1.0 at pursuing a lot of these policies that are in many ways ultimately benefiting this localization movement. Because as I said, it was fundamentally founded in technology. But then when you create a big tariff wall, it's just going to accelerate that process. And so this is one of the reasons why I think it's ending up much better. Is it really going to help with jobs, which I think was sort of the underlying question. Well, look, it's helping with all those construction jobs. So there's a lot of new construction jobs doing this.

One of the things that you do see is that new manufacturing jobs, even when they're automated, do require lots of new manufacturing workers, maybe not at the same ratio that they did before, but at least that's positive now or was a net negative before. So just the flip in sign is important. And so overall, I do think that it is a positive thing for the US economy, which is one of the reasons why I've been forecasting stronger economic growth. There's a question in decade or two down the road whether that's going to continue to be the case But for now I see this is very positive and now before we get into inflation and the Fed I mean what's your take on the Iran war in terms of how we should think about this in terms of its macro impact Well, I think you know, this is again an area where I tend to be somewhat contrarian here. And you know, I don't see these contrarian positions. I just look at the situation and for some reason it strikes me differently than it does a lot of other people. And ultimately, I see this as reinforcing what a lot of people have called American exceptionalists. I don't really agree with that term or like that term, but that phenomenon is reinforced by this, because if you think about what's happened here, we've seen a supply shock to the world for not only liquid and gas hydrocarbons, but also for all of the products that come out of that, whether it's sulfur, helium, nitrate fertilizers, plastics, Natha, all of those sorts of things, right? This is a big, important shock to the global economy.

Those are all things that the US has in surplus. So, you know, people say, oh, but it's a global price. It's a global price. Yeah, sure. But who's making the money? Like, I mean, refiner margins, if you look at crack spreads, they're off the charts in the United States. They're not off the charts in other places, by the way, because they don't have the refinery capacity. But in the US, it is absolutely off the charts. They are literally printing money right

now. And it's encouraging new drilling activity. It's doing all of these things that are very positive for the US economy. The price of all those derivative products is lower in the US than it is for Asia or Europe. So in relative terms, this is a massive positive shock for the United States, right? And this is one of the reasons why it hasn't benefited the dollar and why I'd expect.

that it will as this war continues. And then there's another big issue in the background that is just going to compound this, which is it looks like we have the perhaps largest El Nino in at least a century forming in the Pacific Ocean. And if you look at the weather impact of that, guess whose agricultural is benefited and everybody else's is hurt. Oh, the US again wins. So across the board, American exceptionalism is just being massively reinforced. And it's all about natural resources. It's all about the U.S. economic setup. It's all about all those things coming together in a way that benefit the U.S. Not saying that's intentional. I'm just saying it is. No, thanks. Really, really good points there. And I didn't realize the El Nino points is something I'll look into as well. Now, in terms of inflation, you know, inflation has been running too high, at least relative to the 2% target that the Fed has. I mean, what are your thoughts on the trend in inflation? Of course, recently we had a June print that was incredibly low, at least at the core level. I mean, some people are saying it's obviously unusually low, so it will also bounce back. But some general thoughts on inflation? Well, you know, this is an area where I have thought that inflation was not under control, that the Fed made a mistake in the last 18 months cutting rates.

This gets in part to my sort of localization view and my more positive view on the U.S. economy than most. In that vein, I have a much higher view on what would be so-called our star, this idea of where is the neutral real interest rate. So where the Fed thinks it's somewhere between half and 1%. You have some members of the FMC that are like one and a half maybe. My view is that it's more like 2% to 3%. So then you add a 2% inflation target. Fed funds got to be above 4% at least. And unfortunately, they needed to be restrictive because they allowed inflation expectations to take off. And you could see that. I mean, let's go back to February. So February's number, this is before the invasion or the bombing campaign began in Iran, you had for PC inflation. So, you know, the feds prefer to measure on a three month annualized basis running at 4.8%.

more than double their target and accelerating, right? And it'd been rising over the months. And then, of course, you get hit by this shock from the war that raises energy prices across the board. Now, core has come back, but that's actually what you would expect, right? If you think that that is a real income shock. right, because you didn't expect the higher gasoline prices, natural gas prices, actually natural gas prices in the US fell, but that's a different story. But then all of you, of course, cut back on your expenditures of other things. And so it does relieve some of the pressure on other price categories. And that's exactly what we've seen over the last couple of months. What I find very interesting here is that despite the rise in inflation over that entire period, real PC expenditure, personal consumption expenditure, rose throughout that period. That means that Americans were looking at this not as a real income shock other than the fuel price shock. They were looking at the broader trend in prices as this is a nominal shock, which is to say their inflation expectations went up, which fits exactly with what we see in the inflation expectations data. And I mean inflation.

consumer inflation expectations, not market measures, which are the wrong thing to look at because they never go back in history. Markets have never once, not once in the entire history we have going back to the 70s ever identified a change in consumer inflation expectations. markets are really good at identifying objective changes. Oh, we had an oil price shock. Oh, we had a food price shock. Oh, we had, you know, a tax hike, things like that. Those things that, you know, you and I haven't worked in the sell side and, you know, dealt with traders on the floor who are like going to their economy. So what does this, you know, oil price data or other, how is that going to translate into CPI? Break evens and inflation swaps are really good at pricing that.

they have no idea how to price a change in inflation expectations. But if you look at consumer inflation expectations, whether you're looking at short run or long run, they have been going up, they've broken out of multi-decade ranges. The Fed has lost control, and that's the underlying problem. I mean that implies from what you're saying that the Fed should hike rates and that's been the big debate this year you know whether they should hike in July you know coming up or whether they should hike in September. So what's your view on what they should do this year and what you think they

will do this year? Well the shunt is pretty obvious. I've already said that they're well below neutral and they've got an inflation problem. They should be hiking a lot in my view.

in terms of what they will do. Look, one of the things that I, and this sort of goes back to one of your earlier questions about President Trump in 2.0, is that people pay too much attention to his rhetoric and not what is the sort of political movement behind him. And remember, it's his voters that were the most upset about inflation. So go back and read my research last year, I was saying, Ignore the rhetoric, he's going to appoint a hawk. And I said it was most likely going to be Scott Besant or Kevin Warsh. And towards the end of the year, as I saw that Scott Besant was clearly very happy at Treasury. It was clear it was going to be Kevin Warsh. All this year, I've been saying, Kevin Warsh is a hawk. He is not a sock puppet. He's going to come out. He's going to be very hawkish. And basically everything down to the exact statement I called.

The one thing I didn't get right is I thought he might actually push through a hike in June, right? Because, you know, if you and I were to advise someone, if we had the view that inflation expectations are out there, I'm pretty sure you'd be in the same camp as me. I would tell you that, OK, if you're behind the curve, the best thing you can do is hit the market hard up front. That will actually bring down the long end, which is what you want. And you'll have to do less work later. go do it right away. This is a guy who has been tutored. First of all, he's known to be extremely smart. Everybody who knows him and is talking about him, even his detractor said, this is a really smart guy, right? And he was tutored by someone like Stan Druckenmiller. He's worked in hedge funds. He's worked on Wall Street. He's well versed in all these things. I'm sure he's had these conversations with Stan Druckenmiller. Stan Druckenmiller was like, hit him hard.

with a lot right upfront. And so that is still my view. The thing that I think I got wrong, that just absolutely, I don't know if you have the same impression, I'd be actually interested in what you thought, because I think this guy's clearly gonna run for president someday. My God, he is good. He is the most impressive. politician I have ever seen. And the way he basically went out and praised his committee members and brought them along and

talked about all the things to give them an out. Even sacrificed himself, which is by the way, one of the things I did predict is that he would sacrifice his productivity view and say, well, I got that wrong. It looks like the demand side of building this stuff is bigger.

than the supply effects so far. And so he shows that epistemic humility he's talked about. And that's why I think he's like, look, I'm playing the long game here. I'm not going to get it through in the first meeting because I'm walking into a room of people who made serious policy errors, all of the rest of those people around the table. come in and say, you guys all suck. You did it wrong. Let's change direction now. I've got to bring them along. Let's start with a statement that just as factually, we screwed up. And if you read the statement, that is what it says. And that's why he got three different questions in the press conference from, well, why didn't you hike today? He basically set it up so that the rest of the committee has to start going wrong.

I think it's finally balanced if you read the minutes. I think if we hadn't got the CPI report, it was a slam dunk. They were going in July. I think given how politically clever he is, he may have to show more patience and push this off until August or later. But I still think when I look at pricing right now that basically shows no hike priced in for July. I'm like, that's a free option in my view. You're basically paying bid-ask on the downside. No, I agree. I mean, some of his political skills, I mean, I agree with you. I mean, it's exceptional in terms of the sort of the talent there. And I agree. I think he probably will run for president at some point. Now, just on the politics, you know, the mechanics of the committee, of getting the committee on board. I mean, do you think that's a genuine challenge for him? You know, or is this something like an interim thing that he needs to go through and then he'll control the committee?

Well, look, I think he ultimately wants to get to the point where he can control the committee, but he recognizes that he's coming in as an outsider. He was appointed by a guy who is trying to investigate multiple members of the committee. Unlike any other chairman, he's got his predecessor sitting on the committee. The guy who created all the policy errors sitting there. I mean, you know, because you've subscribed to my work that I've called Jerome Powell, he will go down in history as one of the worst fed

chairs ever. And it's really hard when you're sitting there and he had the lowest rate of dissents of any fed chair ever, right? So the rest of that committee is 100% culpable.

in the same mistakes. So how do you go in and change that? Well, I think that's a big part of the whole task forces. If you look, the task forces cover literally every aspect of what the Fed does other than regulation. And the reality is, if you look at the fact that the balance sheet is created by regulation in many ways, that's a longer discussion we could have, even regulations on the table. So the task forces are a way to say, hey, look, I've assembled this star-studded, amazing set of task forces. And even his detractors came out and said, wow, this is actually a really impressive list. And it doesn't look like he's predetermining it. He's just like having an open set of interested, high-quality people reexamine all these issues. That's a great way to challenge the entire framework of the Fed.

a Fed that had just done a framework review just before he came in, by the way. So yeah, he faces a hostile audience and he has to get them there. And again, going back to the minutes, it looks like the committee is about the 50-50 right now in terms of at least half the committee seems to agree that they went too far in cutting rates and that they have more work to do. That's a great, great point. Now, I want to sort of switch to other countries. And one, again, this kind of rhymes a bit with your perspective on the US, which is the UK. And if you kind of set the longer term perspective here, many people view, you know, many commentators view Brexit as a terrible decision by the UK. It set the UK economy back. And, you know, there's all this negativity around that. I mean, first of all, what was your take on Brexit? And since then, what's your view, just big picture on the state of the UK economy before we get into some of the politics today?

Yeah, so Brexit is a complex one. I would say I got some things very right and some things very wrong. So for one thing, I forecast that the vote would go towards Brexit. So I expected that. Interestingly, I got the market reaction totally wrong because I was working on the politics of rage at the time, this report on populism that I did. And so that was part of the reason why I anticipated it. But the other thing was that I knew that this was sort of the tip of the spear, that we were going to get a lot more after this. So I kind

of expected a liberation day reaction to at least that. And if not, that certainly trumps first election. And in both cases, the markets rallied instead. Well, not so much in Brexit, but it wasn't as bad. And I think it's because markets didn't see.

all the rest of this coming in the way that I was perhaps, well, not perhaps, I was too early, right? Now that said, I didn't think that Brexit was going to have the big negative impact that I think a lot of other people did on the economy. And there were two big reasons for that. The first is that as an FX guy, you know all the trade literature out there. And yeah, If we want to talk about the change in trade over time, tariffs are an important thing, but let's remember the tariffs actually didn't go up that much to be perfectly frank. What is a far bigger effect? In fact, the single biggest determinant of who you trade with is what's called gravity in these gravity models of trade. And gravity is simply how far away is your trading partner?

Well, Brexit wasn't pushing the British clouds further away from Europe geographically, right? So you were still gonna have all that trade there. That was just gonna happen, right? And so that's one thing. The other is that I had already started developing all this localization thesis and how this was happening. And if you look, there was one economy in the world that looked like it should adopt localization more so than any other place other than the US. it was the UK, right? Because this is a very innovative, open economy with a lot of high-end universities, an ecosystem of venture capital, and private equity, which in my research have been really critical to implementing localization in the United States. Where else would you expect that in the UK? The UK look like a natural example. And you do start to see pre-Brexit some signs of it.

What I seem to have gotten wrong is that this was a massive hit to what, you know, the intelligentsia, the policymakers, the British elites in a way that shocked their confidence. And if you look, investment spending just collapsed in the UK afterwards. And everyone wants to blame that on Brexit, except that you have the exact same effect across the pond. So when everyone says that Brexit hasn't worked out economically, that, yeah, we got it wrong, that it wasn't recessionary. But look at the terrible long-term impact it's had. I'd say, really? Compared to what? Because if you compare

it to any other advanced economy except the United States, which we talked about before as having this exceptional focus on localization and exceptional set of circumstances, then Actually, the UK has done, on average, as well as every other advanced economy. So this is comparing it to France, Germany, the European economies, Canada, and all these other comparable economies. The only people will, of course, trot out that the EU has outgrown it. But when you look at that, that is the convergence of the Eastern economies and also, of course, Ireland doing all its tax thing. Ireland's responsible for some crazy share of on the EU growth. If you take those out of the equation, so that taxes from Ireland and the convergence of the less developed economies in Eastern Europe, and just compare it to like for like economies in Europe, no, none of the other major economies have significantly outperformed the UK. So this idea that somehow Brexit was this big negative drag just didn't play out, but it certainly didn't play out as I anticipated, were actually freeing yourselves from a lot of the EU's rules would enable more of that localization development that would actually accelerate growth. And in terms of the current politics in the UK, of course, we've had the switch in Prime Minister Andy Burnham. Does that make a difference to the path of the UK? And what's your view on the UK economically and also the markets for the UK as well? It's important to note that we're speaking on Monday, July 20th.

and that the new prime minister Andy Burnham has not yet announced his cabinet as far as I know when we're recording this. So I'll be looking carefully at those signals. Look, I think the best way to think about Andy Burnham from an investment perspective is that he is a low delta call option in the sense that My expectation is he's not going to tackle the underlying problems that the UK needs to, which is excessive state intervention. It's unwillingness to actually implement Brexit in terms of freeing itself to have different rules from the EU. It basically, it voted to be different from the EU, but then adopted all EU laws wholesale, but now has border checks. That was the stupidest trade ever.

If you're going to have the border checks, you might at least have different rules that might benefit you relative to Europe. So until they tackle those sorts of issues, the UK is not going to get out of its funk as far as I'm concerned and we should expect continued low growth, high inflation, the

Bank of England behind the curve. But there is actually some hope. from Andy Burns. So if you look at what he's done in Manchester, which is, you know, promote the redevelopment of trade schools and, you know, highlighting that actually we don't need a bunch of college graduates, university graduates. We need a bunch of people who can manufacture things and are skilled technicians. All the stuff that I said earlier in our conversation is what's resulting in structural unemployment in the United States and probably in other advanced economies. He's actually proposing one of the fixes. So if the guy is radical and he does represent northern voters, which he says he does, who overwhelmingly wanted Brexit and wanted it precisely to have different rules from the EU, And he's willing to do that. Then he could be the classic allegory or analogy of Nixon going to China. It takes a strong conservative to go make amends with the communists. In this case, it takes a hardcore leftist to actually implement some of these structural reforms that are sacred cows on the left. He can do that. And we'll see whether he's serious about that.

Okay. Now, if we step back, I mean, what are your sort of big market views this year? So I think the clearest one is that real interest rates certainly in the US and the US will drag up everyone else because it's just a big draw of capital in the world or on their way back up. Okay. So I think real interest rates higher and particularly on the front end, I do expect that to yield to renewed curve flattening, so a bear flattening. So from the front end, we have rising rates, because I do think the Fed is going to hike more than markets currently price. That should help bring down inflation over the next couple of years. That's really already priced into break-evens. As I said, I don't think break-evens were well priced, so I don't think there's a big trade there. But I do think it helps support the dollar. That and the sort of exceptionalism issues that I talked about.

to the point of equity markets. I think, look, if we're really going on in a sort of CapEx fuel boom that is driven by broad productivity gains associated with automation, whether there's a bubble or not in AI, I don't have a really strong view. What I would say is that US equities, the earnings still keep coming in. The equity risk premium is narrow but not excessively narrow, and basically the second quartile of equity risk premium. So that means that you are likely to see solid equity gains if their real interest rate heads, right?

Because obviously if real interest rates go up, equities go down. This is exactly what drove the fall in equities in 2022.

And so on a rates hedge basis on positive equities and I'm also positive mid caps and industrials relative to the broader market and particularly the big hyperscalers because those are all extremely. highly priced right now. And if you look, we have turned the corner in terms of policies reinforcing that localization are going to benefit industrialization. And you can see that in the relative performance of things like the Russell 2000 versus the S&P 500, or even the S&P 500 equally weighted versus the S&P 500 index itself. That's fantastic. I mean, we've covered so many macro topics. I just thought I'd round off with more of a kind of almost a self-help question. And this is more towards the youngsters listening to this podcast. I mean, I have a bunch of interns crossing my desk at the moment. And lots of young grads are reaching out as well, talking about how tough the job market has been since they've left university and what should they do. And you've talked about how lots of higher education isn't as useful today as one would have thought. But what's your advice? Like, a 22-year-old just graduated was about to graduate. What's your advice to them? Well, look, I think the critical thing here is that get as much experience as you can. I think a lot of people seem to think that experience is not valuable. I think experience is actually more valuable in an age of AI.

So you probably have had the exact same experience with, you know, whether you use cloud, chat, GPT, grok, whatever's your preferred AI, is that ultimately what determines whether it's really useful to your research or whatever you're working on is do you ask the right questions? And also, are you able to evaluate when it's, you know, either glazing you? or outright hallucinating. And that only comes from experience. So I think the good news for people like you and I, Bilal, is that our market value has gone up relative to the youngsters. But I think for the youngsters, what that means is you go back to a much more apprenticeship model. So I think you and I, in our later years in the cell sides and large organizations, we're often dealing with these incoming crop of young workers who, shall we say, had expectations beyond themselves, maybe, is a good way to put it in terms of- Is that a big dick to Gen Z? Gen Z, plenty on his own. I should have been promoted by now, and I'm the smartest person in this room. I mean, I had to

deal with a lot of that, and the type of stuff that you and I would have never said, right?

We would have been thrown out of the trading floor, you know, on our ear for saying some of the stuff that was said to us, but, you know, I think you're going to have to swallow some of that and recognize that, look, you got a lot to learn from the people around you. And once you learn that stuff, you will be far more productive and thoughtful. So just be respectful of how much there is for you to learn. to better use all these high-tech tools that are now coming on board for you to be able to do all sorts of cool things, frankly, by yourselves. I mean, it is fantastic, but you do need to have experience. That's fantastic. Now, final question. If people wanted to reach out to you or follow your work, what's the best way for them to do that? The best place to go is thematicmarkets.com. You can go there.

sign up for any of my free products. So whether it's my Seriously Marvin by Weekly, which is, you know, my sort of unconventional thoughts. on things I see around me that I don't really have time to devote to really research. Or I have a small podcast with an mutual friend of ours, Mark Farrington, called Thematic Edge. Both of those are free, alternating biweekly. And then if you want to, and I hope you will, you can always sign up for thematic markets research. That is institutional grade research on the global macroeconomy and markets. I'd urge our listeners to definitely sign up for all of those. It's well worth it. So Marvin, as usual, it's always a great, a great joy to speak to you, you know, keep up the good work and, you know, good luck for the bounce of the year. Thank you very much for having me on. It's always a pleasure to speak with you below.

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